

RDCM · FY2025 Q4

Radcom Ltd. · 24 turns · 7 participants

CAST (IN ORDER OF APPEARANCE)**Conference Operator**

Operator

Benny Epstein

CEO

Alinda Lee

Analyst, William Blair

Unknown

Management

Conference Operator

Operator

Howard Cohen

CFO

Ryan Koontz

Analyst, Needham & Company

CONFERENCE OPERATOR Operator

Ladies and gentlemen, thank you for standing by. Welcome to the REDCOM Limited Results Conference Call for the fourth quarter and full year of 2025. All participants are present in a listen-only mode. Following management's formal presentation, instructions will be given for the question and answer session. For operator assistance during the conference, please press star zero. As a reminder, this conference is being recorded and will be available for replay on the company's website at www.redcom.com later today. On the call are Benny Epstein, Redcom CEO, and Howard Cohen, Redcom CFO. Please note that management has prepared a presentation for your reference that will be used during the call. If you have not downloaded it yet, you may do so through the link in the investor section of Redcom's website at www.redcom.com. Before we begin, I would like to review the Safe Harbor provisions. This conference call will contain forward-looking statements. Forward-looking statements in the conference call involve several risks and uncertainties, including but are not limited to the company's statements about its momentum, strategic direction and goals, market position and trajectory, future execution and delivery of values to customers and stakeholders, expansion within its existing customer base and expansion of its footprint, development of and enhancing strategic partnerships and expected benefits and revenue from collaborations, the success of new technologies, including AI, to, among other things, enhance automation, pipelines, opportunities and customer engagements, and the timing thereof demand for its products and solutions and the ability to address new customer segments and expand its market reach. Trends in the market, the expected benefits of its AI-driven assurance and other solutions, its expectation with respect to growth margins, search and development, and sales and marketing expenses, expectations regarding the growth of 5G and AI, and its full year 2026 revenue guidance, future growth and profitability, resilience, and long-term commitment. The company does not undertake to update forward-looking statements. The full safe harbor provisions, including risk that could cause actual results to differ from these forward-looking statements, are outlined in today's press release and the company's SEC filings. In this conference call, management will refer to certain non-GAAP financial measures, which are provided to enhance the user's overall understanding of the company's financial performance. By excluding non-cash stock-based compensation that has been expensed in accordance with ASC Topic 718, financial income expenses related to acquisitions and amortization of intangible assets related to acquisitions non-GAAP results, providing information helpful in assessing RETCOM's core operations performance and evaluating and comparing the results of operations consistently from period to period. Presentation of this additional information is not meant to be considered a substitute for the corresponding financial measures prepared in accordance with the expected principles. Investors are encouraged to

review the reconciliations of gap-to-non-gap financial measures, including in the quarter's earnings release available on our website, www.redcom.com. Now I would like to turn over the call to Benny. Please go ahead.

BENNY EPSTEIN CEO

Thank you, Operator, and good morning, everyone. Please turn to slide 7 for our financial highlights. RATCOM delivered its sixth consecutive year of growth with a record \$71.5 million in revenue, representing 17.2% year-over-year growth above the midpoint of our most recent revenue guidance of 15% to 18%. GAAP earnings per share increased by just over 65% year-over-year, and we achieved the highest cash and short-term deposit balances in the company's history of \$109.9 million, with no debt. In terms of profitability, RATCOM reached record results across multiple KPIs, including earning and operating margin, demonstrating tight cost control, strong operational efficiency, and scalable business model. As shown on slide 8, we delivered another strong fourth quarter with revenue up 16% year-over-year and \$18 million. Our strong results demonstrate the solid foundation we have established for RASCOM. RASCOM continues to deliver profitability supported by our technology advantage, a top-tier customer base, and an exceptional team. Our focus now is to expand our customer base, specifically adding new Tier 1 customers to our roster, to enable our next phase of profitable growth. Expanding our tier one customer footprint remains a key priority, and we are actively engaged across a set of meaningful new prospects. We continue to see healthy set of opportunities and demand remains strong. As is common with tier one customers, timing can shift as engagement move from technical evaluation to proof of concept to closing. Given this momentum, we expect revenue to grow by 8% to 12% in 2026, way above the service assurance market growth. Achieving this outlook will require both new business and continued expansion within our existing customer base, and we remain confident in our ability to execute. Looking forward, our strong balance sheet is a strategic advantage, signaling to T1 customers our resilience and long-term commitment. This also allows us to continue our product innovation and R&D investments and, over time, expand our footprint all while maintaining disciplined financial management and profitability. Our performance also validates the growing market value of our industry-leading solutions. We remain firmly committed to enabling exceptional user and subscriber experiences while addressing our customers' evolving operational and business needs. Our results and improved profitability are direct results of our focused execution of strategy and the ongoing value we offer to our customers, all driven by our highly skilled team. The continued advancement of our technology leadership position us for accelerated, scalable growth. Heading into 2026, we expect to maintain a disciplined focus on technology advancement, including in our 5G service assurance offering and agentic AI capabilities. We will continue to support operators in optimizing their network operations, reducing costs, and driving network automation. We see continued and growing opportunities to build on our existing customer base and support sustainable long-term growth. Turning to slide nine, we will look more broadly at the market environment. Telcos are approaching a key inflection point driven by AI adoption. A recent GSMA survey conducted in partnership with RASCOM found that 71% of operators plan to implement agentic AI this year. Yes, only 41% report having an end-to-end data architecture that integrates information across the organization. This gap between AI ambition and data readiness presents a clear opportunity for RASCOM to add value by enabling operators to access reliable, subscriber-focused data. This data supports multiple agentic AI use cases and broader efforts to deliver consistently high quality customer experiences. AI-driven demand continues to reshape network priorities. Operators are increasingly integrating AI across network layers to optimize capacity and efficiency as they continue to transformation to 5G. As we have seen, Many have already moved from proof-of-concept initiatives to commercial deployment in 2025. In the area of agentic AI, operator demand is increasingly shifting toward unified end-to-end platforms. In our recent survey, the majority of operators indicated that they are interested in deploying integrated end-to-end systems. RASCOM is well-positioned to address this need with a comprehensive solution that integrates smoothly with business and service management systems for customer support, care, and automation of operational

workflows. This aligns well with industry shifts towards more streamlined, data-driven operations. Moving on to slide 10, our product innovations. We continue to see growing customer interest in our advanced high-capacity data capture solution, which enables telecom operators to analyze massive amounts of data to understand the customer experience at scale while significantly reducing infrastructure costs. We believe this solution can reduce the total cost of ownership by up to 75% compared to competing solutions, enabling broader visibility into the customer experience. As highlighted in our survey, operators are exploring agentic AI across targeted use cases. Our focus is on developing telco-specific AI agents that deliver high accuracy, faster decision-making, and measurable operational improvements across specific domains. This capability not only enhanced the value of our existing platform, but also positioned RADCOM to address new customer segments and expand our market reach. Turning to slide 11, our new contract wins. In the fourth quarter, RATCOM announced a new customer win, OneGlobal, which selected RATCOM-A to deliver next-generation AI-powered assurance across both subscribers and IoT, enabling 4G and 5G monitoring scale for 43 million subscribers. We also expanded within existing customer a leading European operator via Rakuten Siphoning to supply our network visibility solution. The solution will deliver accurate intelligent data collection across its network end-to-end. Regarding our installed base, slide 12. RASCOM continues to support AT&T as it sustains leading network performance across the industry. In 2025, the mobility service revenues increased, reflecting ongoing customer demand and operational strength. AT&T finished the year with 120 million subscribers. One industry analyst noted that AT&T's network remains robust and is widely regarded as the most reliable network option in rural areas across the U.S. Within its fully virtualized cloud-native network, Rakuten Mobile continues to utilize RASCOM assurance solutions to deliver high-performance, reliable network quality that supports scalable growth. The operator passed 10 million subscribers in December 2025 and ranked first in the 2025 Oricon Customer Satisfaction Survey. Turning to slide 13, we focus on our partners. We are continuing our partnership strategy with NVIDIA and ServiceNow. Our high-capacity user analytics solution is powered by NVIDIA data processing units. In field trials, it has reduced operational costs by up to 75% while maintaining full real-time visibility, making it a strong enabler of scalable 5G assurance and AIOps. We believe this partnership will start contributing initial wins over the course of 2026. Turning to ServiceNow on slide 14. We continue to deepen our partnership and will showcase multiple joint demos at Mobile World Congress in March. Our RASCOM AIM AIOps solution is now fully integrated, certified, and available as a connector in the ServiceNow store, enabling real-time network monitoring and advanced automation use cases. We expect this collaboration to begin delivering initial wins during 2026. Go-to-market activities, slide 15. In 2025, we strengthen our market presence by participating in key industry events, including FUSE in Dublin and NetworkX in Paris during Q4. We are preparing for upcoming high-impact engagements, including World Congress 2026 and NVIDIA GTC in March, to showcase our solutions, expand strategic relationships, and drive momentum. RATCOM's technology leadership continues to gain global recognition. Named to the Fast Mode 100 for 2025, Batcom was recognized as one of the solution providers testing the future of telecom and digital infrastructure. We were all finalists in the first network award for best network test and measurement and received the best AIML innovation award at the 2025 Global Connectivity Awards in London. This calculates, validates our industry-leading solutions. reinforce our competitive differentiation, and highlight the value we deliver to customers and stakeholders worldwide. Before I wrap up, I want to briefly address the governance update. The board of directors has appointed board member Rami Schwartz as chairman, effective February 8th, 2026, succeeding Sami Tota. Rami has served on RATCOM's board since 2019 and brings deep experience in strategy, leadership, governance, and scaling technology businesses. I've spent meaningful time with Rami over the last year at RATCOM and previous roles, and I'm confident in his ability to support the team as we remain focused on our growth strategy. I would like also to thank Sami for his support during my first year as CEO. Importantly, Sami will continue to serve on the board. From my perspective, the board provides the oversight and support our team needs. We are aligned on our strategy, priorities, and execution plan as we enter 2026, and we remain focused on expanding our Tier 1

customer footprint, advancing our technology roadmap, and delivering profitable growth. In summary, turning to slide 16, 2025 was a solid year defined by strong growth, disciplined operational and financial execution, and continuing market momentum. We strengthened strategic partnerships with NVIDIA and ServiceNow while initiating discussion with operations. We secured a new customer, extended our service offering, advanced agentic AI solutions, and launched our high-capacity data capture solution. Turning to 2026, we remain focused on driving innovation, particularly in agentic AI use cases and delivering solutions that reduce the total cost of ownership for operators. With robust pipeline of opportunities, we anticipate another year of double-digit revenue growth, reinforcing our leadership in 5G assurance. The company is committed to sustaining profitability, maintaining expense discipline, and leveraging its solid financial foundation to support long-term value operation. Our near-term focus is to continue to deliver strong operational and financial execution, converting a growing pipeline of opportunities into revenue, while further expanding our presence within our existing customer base. We have established key strategic partnerships and expect to deepen these relationships to scale our business and expand our addressable market. AI remains a strong catalyst for our business, and we are investing in AI and automation to maintain our leadership in real-time network intelligence. Our customers recognize both the opportunities and challenges of AI, and RASCOM has proven its ability to deliver a total cost of ownership advantage over our peer solutions. Operationally, we remain committed to delivering consistent profitability and cash flow, while maintaining flexibility as we continue to scale organically. In conclusion, we entered 2026 with momentum and a clear set of goals. We have proven our business model and established a sound foundation for profitable growth. With that, I'll now turn the call over to our CFO, Hod Cohen, to review the financial results in detail. Thank you, Benny, and good morning, everyone. As a reminder, unless otherwise noted, I will refer to non-GAAP results. Reconciliation between GAAP and non-GAAP measures are provided in our press release and presentation. Additionally, all comparisons are year over year unless otherwise noted. Please turn to slide 17 for our quarterly financial highlights. We are pleased with how our team closed the year, delivering growth in both revenue and profitability. RASCOM delivered another quarterly revenue record with total revenue of \$18.9 million, up 16% year-on-year. At the same time, we continued to manage expenses effectively while increasing strategic investment in research and development. As a result, we delivered significant improvements in margins and record profitability. Gross margin in the fall quarter was 77.6%, the highest since 2018. Please note that our gross margin may vary depending on the revenue mix. Operating income reached 4.3 million, surpassing the third quarter record with an operating margin of 23%, the highest in eight years. Net income was 5.2 million, or 31 cents per diluted share, compared to 3.8 million or 23 cents per diluted share last year. As shown in slide 18, our gross R&D expenses for the fourth quarter were 4.9 million, an increase of 16.2% year-over-year. This growth reflects our focus on strengthening collaboration, fostering innovation, and expanding our portfolio. We plan to continue strategic investment in R&D to deliver advanced intelligent solutions with a focus on agent-to-agent and multimodal workflows while supporting our strategic partnership and productization efforts. Sales and marketing expenses for the fourth quarter were \$4.2 million, a 1.4% year-over-year increase. We continue to invest in our sales capability and anticipate that sales and marketing expenses will gradually rise in the coming quarters to support pipeline growth and expansion in high value regions. On a gap basis, as shown on slide 19, our net income for the fourth quarter of 2025 was 3.6 million, a 62% year-over-year increase. Gap earnings per share were 21 cents per diluted share compared to 14 cents per share last year. We ended the fourth quarter of 2025 with 325 employees.

HOWARD COHEN CFO

Now let's review slide 20, which presents the full year results.

BENNY EPSTEIN CEO

In line with our full year guidance, we finished 2025 with a record revenue of 71.5 million, an increase of 17.2% from 2024, above the midpoint of our projected 15% to 18% growth range. Our growth margin was 76.8% in 2025, up from 75.2% in 2024. Operating income increased by 55% in 2025, reaching an all-time high of 14.8 million or 20.6% of revenue, compared to 9.5 million or 15.6% in 2024. Net income for 2025 reached a record 18.4 million, accounting for 25.8% of revenue, or \$1.09 per diluted share. This compares to a net income of 13.5 million or 22.1% of revenue, equating to 83 cents per diluted share in 2024. As shown on slide 18, our gross R&D expenses in 2025 were 18.5 million, an increase of 1.9 million from 2024, reflecting 11.1% year-over-year growth. Looking ahead to 2026, We plan to increase our R&D investment to further develop automation and AI capabilities and support our strategic partnership and productization goals. We received a total of \$0.4 million in grants from the Israel Innovation Authority during the year. To support our growth, sales and marketing expenses in 2025 were \$17.3 million, up 10.5% from \$15.7 million in 2024. G&A expenses for 2025 were 4.8 million, a decrease of \$11,000 year over year. On a gap basis, as shown on slide 19, our net income for 2025 reached a new high of 12 million, or 16.8% revenue, or 71 cents per diluted share, compared to a 7 million, or 11.4% of revenue, or \$0.43 per diluted share in 2024. Turning to the balance sheet on slide 21, we closed quarter four with a record \$109.9 million in cash, cash equivalents and short-term bank deposits, reflecting positive cash flow of \$3.2 million in the quarter and \$15.2 million for the year driven by our strong results. That concludes our . Thank you, and we will now pass the call back to the operator for your questions.

CONFERENCE OPERATOR Operator

Thank you.

CONFERENCE OPERATOR Operator

Ladies and gentlemen, at this time, we'll begin the question and answer session. If you have a question, please press star 1. If you wish to cancel your request, please press star 2. Please stand by while we pull through your questions.

CONFERENCE OPERATOR Operator

The first question is from Alinda Lee of William Blair. Please go ahead.

ALINDA LEE Analyst, William Blair

Awesome. Thank you. Benny, with \$199 million in the balance sheet and no debt, how should we think about capital allocation in 2026, especially relates to M&A?

UNKNOWN Management

Hi, Alinda. Thanks for the question. Our first priority remains to look into M&A, and this is our first priority, what we are trying to accelerate, and this was prioritizing, so I answered your question.

ALINDA LEE Analyst, William Blair

Okay, cool. And any changes in the guidance philosophy, and what are some of the assumptions in the 2026 guide?

UNKNOWN Management

Sure.

BENNY EPSTEIN CEO

We believe we are basically at the second half of our sales cycle. It's hard to pinpoint exactly when we're going to close, and this is why we, We left the guidance 8% to 12%, and we're assuming that we will close it in the first half of the year.

ALINDA LEE Analyst, William Blair

Awesome.

UNKNOWN Management

Thank you. Some of the strategic opportunities.

CONFERENCE OPERATOR Operator

Okay. Thanks. If there are any additional questions, please press star 1. If you wish to cancel your request, please press star 2. The next question is from Ryan Koontz of Needham & Company. Please go ahead.

RYAN KOONTZ Analyst, Needham & Company

Great. Thanks, guys. I wanted to ask about, you've got a great run right there with your large customer, AT&T, and look at your land expand strategy. What are some of the key drivers for expanding your business with existing customers there? Is it their deployments of the 5G standalone core? Is it adoption of...

BENNY EPSTEIN CEO

of agentic ai or what are some of the key drivers we should think about for you to be able to grow the size of of new accounts thank you all right thanks ryan and we still believe lots of opportunities within our existing customer including at&t agentic is driving a lot of opportunities our unique data set that we bring to the table is helping and other customers to promote their own agentic platform and promote their own efficiencies within operations. So this is still the main target to support our biggest customers.

RYAN KOONTZ Analyst, Needham & Company

Got it. And, you know, I can certainly see how the analytics angle, you know, is an easy entry point for AI for RADCOM. The agentic element here, how critical is that to, you know, you're breaking into an account today, or is that really kind of a latter sale, kind of upsell for your basic capabilities?

BENNY EPSTEIN CEO

I think it's a combination of both, Ryan. So it is that our analytics capabilities is driving lots of opportunities, including in North America and in Mayan, by the way, and while promoting our own core business, pushing our ACE product forward, within existing new customers and prospects. But definitely the AI and the unique data set is a critical ingredient from our value proposition.

RYAN KOONTZ Analyst, Needham & Company

Got it. Thanks. And with regards to your data collection, I assume these are on hardware NICs for the network equipment. The NVIDIA Bluefield, where is that in terms of introduction and what sort of architecture do you use if you're not using an NVIDIA-based product? Is it FPGA-based?

BENNY EPSTEIN CEO

We're actually using both NVIDIA-based standard server and cloud-native solution on the front, and we still believe that our product, our software, is the most efficient one out there compared to our peer competition.

RYAN KOONTZ Analyst, Needham & Company

Great. Thanks. That's all I've got. Thanks, Benny.

HOWARD COHEN CFO

Thank you, Ron.

CONFERENCE OPERATOR Operator

There are no further questions at this time. This concludes the REDCOM LTD fourth quarter 2025 results conference call. Thank you for your participation. You may go ahead and disconnect.